

**Segment 5 : Business Investment Strategies, Continuity
Plan and Role of Creativity and Innovation
in Business**

**Topic 3 : Role of Creativity and Innovation in
Business**

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3.1 Introduction

This chapter starts with the concept of innovation and creativity. Over the decades, creativity and innovation have been key skills in achieving success in an economy. The need for creative solutions has arisen as more and more administrative problems require creative information in order to find appropriate solutions. Creativity goes hand in hand with innovation. And innovation is not possible without creativity. While creativity is the ability to produce new and different ideas, innovation is the invention of that creativity—that is, the introduction of a new idea, solution, process, or product. Creativity is a dynamic force of innovation and the inclusion of a different perspective and freedom of limitations through written rules and practices.

Modern businesses grow and thrive in today's corporate climate for many different reasons. Some are known for their products, some for their services, while others still have features that are not easily defined, like strong brand loyalty or attractive advertising campaigns. Some organisations really stand out in this package as obvious leaders within their industries because they all have one common denominator: they all embrace and appreciate innovation. These leaders who appreciate innovation include new organisations such as Uber and Amazon—which have changed the core processes of their industries to disrupt the current situation. Also, big giants like Microsoft and Apple, which have been around for decades but are surviving because of constant reinventing and innovating. However, if the organisation is not practicing innovation regardless of its current industry or structure, it cannot expect to maintain a competitive edge.

This chapter will explain in detail the concept of creativity and innovation for creating and building a creative and innovative business culture. This chapter will also explain the business practices adopted to promote creativity and innovation. The significance and challenges of creativity and innovation will also be elaborated.

Learning Objectives

After studying this chapter, you will be able to:

- Understand the concept and significance of creativity and innovation
- Explain the creative and innovative business culture

- Identify business practices by which creativity and innovation can be promoted
- Discuss the significance and challenges of creativity and innovation in business

3.2 Creativity and Innovation

Creativity

Creativity is the work of knowledge, curiosity, thinking, imagination and exploration. More knowledge and level of curiosity create more ideas, patterns and combinations that can be achieved and then can be combined to create new and innovative products and services. But just knowing the facts does not guarantee the formation of new patterns. Pieces and bits should be shaken and repeated in new ways. The fetus ideas must then be tested and developed into practical ideas; in other words, there is a process.

The invention of the motorcycle makes them realise that they can also ride bikes without making any extra effort. They just have to click the switch, and it starts automatically. In this example, the thought of the creation of a new travelling motorcycle is creativity, but the actual invention of it is innovation.

There are three important levels of creativity, i.e., discovery, invention and construction.

1. **Discovery:** Discovery is a low level of creativity. As the name implies, this is where one gets information or stumbles over something. For example, there is an art called "discovered art." It can be a rock with a unique shape or a piece of wood with a lovely pattern. If you have ever bought a piece of natural stone or wood art, that art is discovery art. Many inventions begin with discovery.
2. **Invention:** Invention is a higher level of creativity. For example, the telephone was invented by Alexander Graham Bell. But one question should be asked, "Would the phone have been set up without Bell?" The answer is yes. Eventually, the telephone could have been invented because science existed. It may have taken a long time, but it was going to happen. So, while invention is higher than discovery, it is something that will happen. If you do not start it, someone else will build it.

- 3. Creation:** Creation is the highest level of creativity. For example, Othello's stage play is truly creative and genuinely was a creation. The Elizabethan play would have continued without Shakespeare, but no one else could have written Othello. Similarly, there are things that only a particular organisation can build. The only key is to find out what these things are and should be.

Innovation

Innovation, as a concept, refers to the process by which an individual or organisation engages in thinking about new products, processes and ideas or approaches existing products, processes and ideas in new ways. In the business sector, there are many different types of innovations that a company can pursue. These are tied directly to individual products, internal processes or workflow, or business models. Some companies even embrace all three of these in an effort to drive growth while adjusting to the ever-changing market.

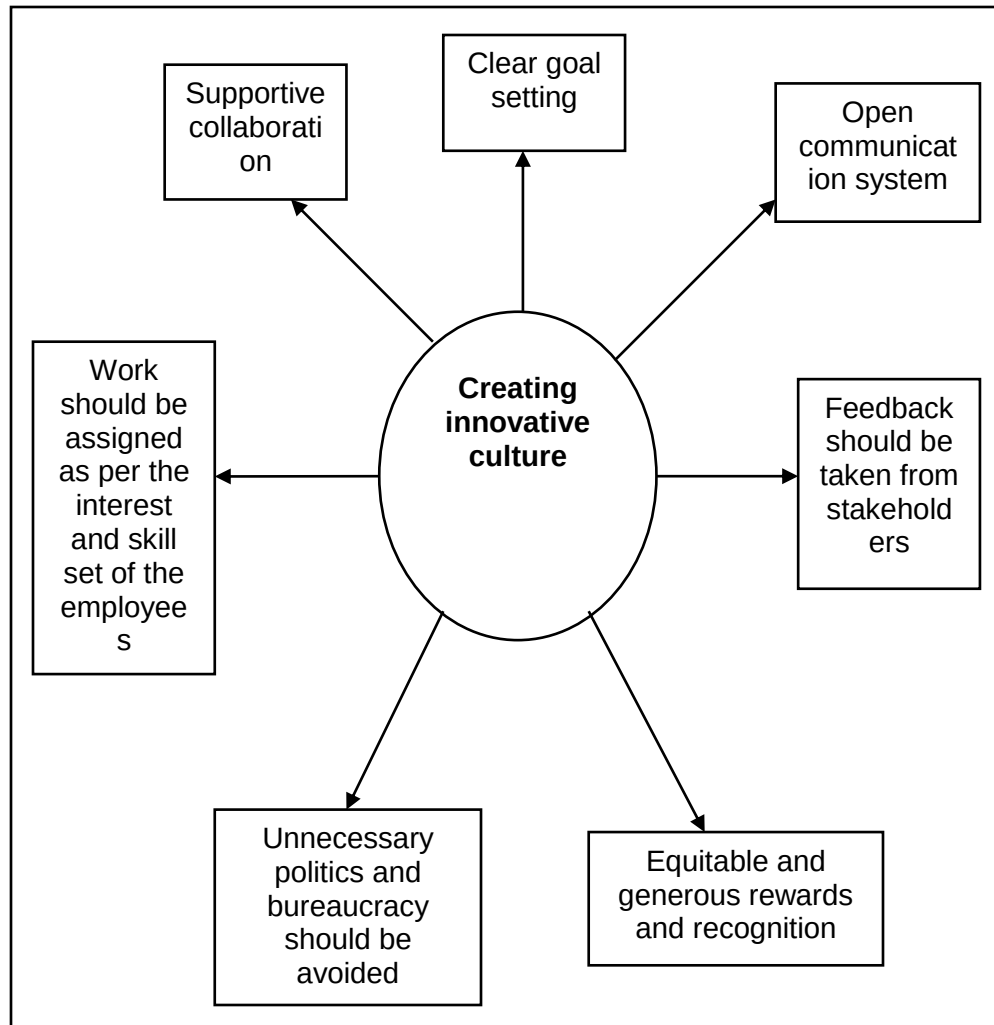
Apple is a good example of an organisation that successfully accepts innovations in many important areas of its journey to become a successful brand. In the 1990s, for example, the company was on the verge of collapse, but it managed to avoid it by a partnership with Microsoft—a company that had long been seen as an enemy. The move successfully shaped the entire Apple company philosophy and led to the launch of the iMac, which was the company's changing point.

However, this was just the beginning of Apple; the partnership with Microsoft ushered in a new era of innovation, which led to the development of many technology products that look after the basic lives of today. This includes iPods, iPhones, MacBooks, Apple Watches, iPads and more—alongside the launch of iTunes, which has successfully rebuilt the entire music industry.

3.3 Creating and Building Creative and Innovative Business Culture

Culture is about "the way we do things here"—the ways in which shared behaviour becomes the habits in which we live and work. Culture does not emerge by magic; it is built over time through the process of practice, negotiation and rehearsal. Eventually, it becomes a part of the fabric of the organisation and is reinforced by antiquities such as frameworks, policies,

structures and procedures. In an organisation that practices an innovation culture, different ideas are generated and developed into something that creates value. There will be awards and accreditation programs, rating frameworks, resource allocation rules, and all sorts of things to make new things happen. Strategies for building a creative and innovative culture are



given in the following chart:

Fig 1: Creating Innovative Culture

1. **Clear goal setting:** Goals should be clear enough to align group members and be free enough for group members to be independent of how to achieve these goals. It is this independence and the power to allow for the integration of ideas and to bring new ideas that allow real art to happen.
2. **Work should be assigned as per the interest and skill set of the employees:** When people find out that their work has a purpose, they will also find it encouraging. Motivated team members persevere and give more feedback to the system, contributing to innovation. The manager assigns the team and employees a task which is of their keen interest and matches their capabilities as well. When the work assigned matches the skill and interest, then the work becomes more meaningful to the employees.
3. **Open communication systems:** The third practice which an organisation should adopt for enabling the innovation culture is to have an open communication system that facilitates idea exchange, coordination and collaboration. Also, new channels of communication, like problem solving through theatre, visual arts, music, dance, etc., could be used.
4. **Feedback should be taken from stakeholders:** Innovation happens through many means, like small observations, reassembling of ideas, experiments, etc., that give fast feedback and allow the organisation to adopt new ones. In the organisation, feedback should be taken from all the stakeholders for different ideas and suggestions.
5. **Equitable and generous rewards and recognition:** The system of the organisation should support the goal of the organisation. When the organisation's culture is desired, the employees working in the organisation should be recognised for their innovative behaviour, which includes risk-taking, idea generation, innovation and creativity. The employees should be given free time for their passion projects which they love to do and also should be given pay hikes and promotions. These all help in creating an innovative culture in the organisation.
6. **Unnecessary politics and bureaucracy should be avoided:** Bureaucracy blocks innovation in two ways. It creates long dumps and an institutional fund that decreases innovation and demotivates innovators by creating hurdles in their ways. It is the responsibility of the managers

in the organisation to eliminate bureaucracy and encourage progressive innovation.

7. **Supportive collaboration:** The final factor which can embrace innovation in the organisation is a supportive collaboration among the teams, units and departments. When two companies are in a partnership, it always leads to greater innovation.

3.4 Business Practices Adopted to Promote Creativity and Innovation

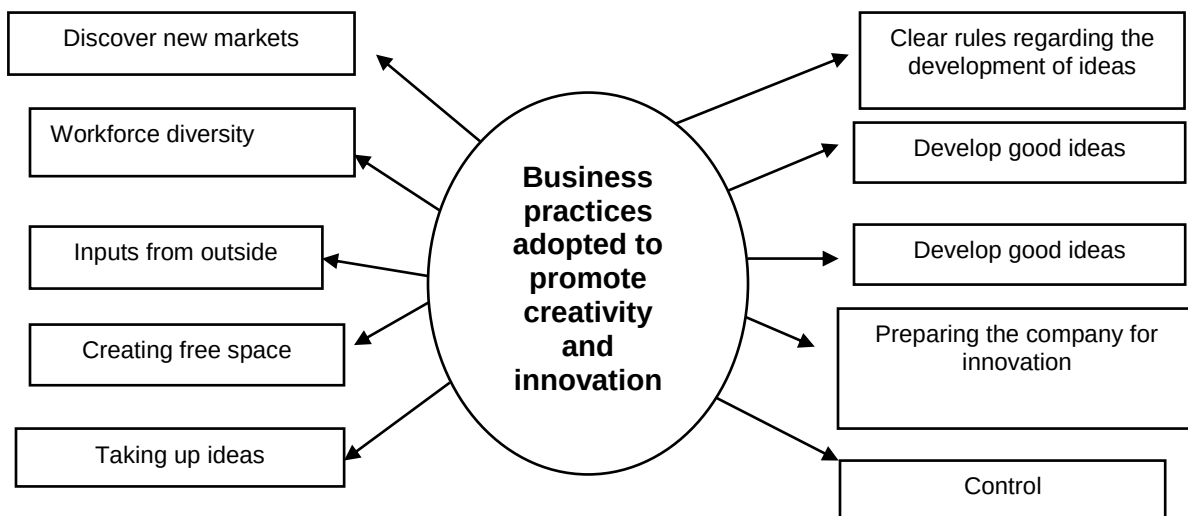


Fig 2: Business Practices Adopted to Promote Creativity and Innovation

1. **Discover new markets:** Instead of competing with stubborn competitors in competitive markets, companies should try to win new and previously untouched markets or lower markets. A good way here is to describe the organisation's industry characteristics. Discovering new markets and new customers is always desirable and is the only way to survive in the long run.
2. **Workforce diversity:** High diversity in relation to team formation is a good way to breed new ideas in practice. For this reason, staff selection is a centralised innovation strategy. The creativity is high, especially in the combined groups consisting of men and women of different ages

and backgrounds. Employees should be placed in the organisation after analysing the objective and diversified skill sets of the employees.

3. **Inputs from outside:** Many companies around the world are taking advantage of opportunities to communicate with stakeholders in order to develop new products. Instead of internal solutions, crowd acquisition is used continuously in the innovation management process. By involving customers and testers from external sources, creative inputs can be upgraded many times, greatly enhancing the opportunity to innovate.
4. **Creating free space:** As mentioned earlier, innovations are closely related to the freedom of creation. In this context, time and pressure to work, in particular, have a toxic effect on the craftsmanship of the workers. Companies should therefore incorporate niches directly into their daily work. Even a different workplace often promotes employee intelligence.
5. **Taking up ideas:** Even the smartest idea does not work in a company if other people in the organisation do not accept it. In this way, new thoughts are lost in the stresses of everyday life. To prevent this from happening, the basic processes in the company are very important. An open-ended self-assessment of ideas can help in review innovation management.
6. **Promoting motivation:** Employee motivation is crucial in building new ideas. For innovation to be effective, companies must therefore create appropriate incentives. Acceptance of suggestions by leaders is very important here. When employees see how a person gets appreciation for his or her suggestions, this often leads to additional incentives.
7. **Clear rules regarding the development of ideas:** The decision as to whether a proposal should be followed or not should be taken promptly and clearly within the company. New innovations hung in the form of limbo not only undermine future employee motivation but also prevent the development of new concepts and business models.
8. **Developing good ideas:** If an idea appeals to a company, it should be carefully planned. Development and marketing, in particular, are the keys to the success of innovation. Another important factor is financial

planning in use. Strict schedules can quickly lead to errors in planning and jeopardising success.

9. ***Preparing the company for innovation:*** While introducing the innovation, it is important at the same time to keep the organisation ready for the innovation. Above all, detailed marketing and sales programmes are very important here. As innovations are always new, it is not uncommon for employees to expand their skills or update their technical knowledge.
10. ***Control:*** Even after the market launch, companies must keep a watch on their innovation. New products, for example, only in rare cases have a significant impact. Regular check-ups and positive corrections are required for success in the long run.

3.5 Importance and Challenges of Creativity and Innovation in Business

Importance of creativity and innovation in a business

- Innovation and creativity in a well-managed company have always been seen as a sure way to success. Encouraging innovation, creativity and exploring new and unknown areas always lead to an increase in the productivity of the organisation. Encouraging employees to think out of the box and giving them the time and resources to explore new areas of innovation is the key to cost-effective business solutions.
- Creativity improves the problem-solving process. It does not matter if we are talking about building a new strategy or a new way to stay ahead of the competition. Creative solving problems gives that competitive edge which the business is trying to achieve. Creative ideas and innovations can come from almost anywhere—from the partners, customers, target groups, employees or any other stakeholder. They can bring you new ideas and fresh perspectives, so it is important for the organisation to show them that the organisation is listening and open to their response. That is why it is important that the open exchange of ideas is supported and encouraged by the company.

Role of Creativity and Innovation in Business

- Innovation and creativity lead to greater success in organisations, even beyond raw intelligence. Traditional companies and educational institutions often reward intelligence as a key factor in solving problems.
- Creation is an action, idea, idea or product that transforms an existing domain into a new one. Innovation can be defined as the discovery of something that is original but also practical or economically viable.
- Innovation can grow the business in order to become more successful and profitable. The business can grow by merging or acquiring others, which is faster, but also typically a much more expensive avenue for growth. The organisation might choose to evolve by rethinking the product or business model—or both—from the ground up, which is a process that can lead to rapid expansion and allow scaling the business very quickly.
- The world around us is constantly changing, and in order for a business to remain relevant and profitable, it will eventually need to adapt in order to meet the new realities. Technology continually proves to be a driving factor in the need for change.
- At the core, innovation is about doing something differently from competitors. For example, if the organisation is using innovation on its products, then the goal is to develop or update the products until there is nothing else in the market like it. If the organisation is using innovation in its processes, it is because doing so will save time, money or other resources and gives a competitive advantage over other companies stuck in their systems.

Challenges involved in creativity and innovation

The process of innovation is not always smooth. It usually requires a certain environment to exist in order for the people involved to be encouraged and empowered to generate ideas freely—ideas that can move projects forward. Innovation is a major factor in organisational growth and success. Creating innovation in the company is a critical step, but still, many businesses are struggling with internal challenges that hinder innovation and creativity. Below are five common challenges of innovation in business today:

1. **Loose strategy for innovation:** One of the most important things which take the organisation from a new arrival to a well-known, established brand is the innovation strategy of the company. Innovation always keeps the business constantly reactive and running. The innovation strategy helps define the direction of innovation and implementation. Without a creative plan, the organisation may be empty, and the failure of innovative efforts is there. If the innovation strategy is absent or is not being used properly, then it is a challenge for the organisation.
2. **Less motivation and empowerment in the employees:** Many managers mistakenly believe that innovation will be a hindrance rather than a company's help when it comes to employee focus, fearing that new things will interfere with their daily work. As a result, employees do not get empowered to innovate. Employees need the freedom to risk and/or to try new ideas, but these new internal innovations cannot be achieved without the support of management and leadership. When employees feel empowered, they also need inspiration. Staff motivation for innovation can come in many forms, including competitions, founder incentive programmes or a set time for informal employee motivation.
3. **Responsibility for innovation lied in single department:** Any organisation delegates the task of innovation to one department or group only, which is called "product development" or "research and development." Some fall into the myth that the most innovative skill lies in a single functional group or department, that is an obstacle to the organisation. Each department within the organisation offers different perspectives on problems. By failing to make adequate use of all the resources in the organisation, leaders who choose to include only one working group for the role of innovation are at risk of losing the very foundations of a truly successful organisation.
4. **Lack of cooperation:** The key to innovation is cooperation—inside and out. Customers, industry partners and competitors can all be used to advance the company's technology forward in the industry.
5. **Customer communication:** Customer feedback is incredibly important when it comes to innovative successes. Customer sensitivity must be experienced in all businesses in order to truly understand the change in demand while achieving the goal of meeting future styles. Getting positive

feedback from customers will find an organisational roadmap for issues that need to be resolved next.

6. **Resistance to change:** People just tend to do a certain job in an emphatic way and simply oppose any new idea or change. Employees or managers when asked to do something different from their regular tasks, employees or managers resist doing it. In the case of creativity and innovation, it is challenging for such employees.
7. **Lack of initiative:** Often, managers in the organisation do not provide proper guidance and motivation to their subordinates for innovation and creativity with a fear in their mind that it may undermine their authority. This hurdles the creativity and innovation in the organisation by the employees.
8. **Restriction on interaction:** A free and open environment gives employees the opportunity to connect with their team members and other teams. Such interaction facilitates the exchange of ideas and information needed for creativity, whereas creativity is negatively affected in a restricted environment.
9. **Fear of something wrong:** Many new ideas go wrong or become ineffective. Whenever some work is done, it is possible that it can be a success or failure. Managers and employees do hesitate in doing something new because of the fear of the unknown or fear of going wrong.
10. **Lack of recognition:** When the employees do not get rewarded for their creativity, it causes a lack of motivation in the employees. Adequate financial rewards must compensate for the hard work of creative people.
11. **Resource issues:** Creativity demands adequate access to resources. Lack of adequate resources can reduce the spirit of creativity.

3.6 Summary

Let us recapitulate the important concepts discussed in this topic:

- Innovation can refer to something new, such as invention, or the practice of inventing and introducing new things.
- Innovation is often a new product, but it can also be a new way of doing something or a new way of thinking. Innovation is often associated with business and technology, but it can also happen in any field where people

introduce change, including art, medicine, politics, cooking, language—even philosophy and religion.

- Creativity is the act of turning new and imaginative ideas into reality. Creativity is characterised by the ability to take on a new world, find hidden patterns and identify connections between seemingly interrelated phenomena to find out solutions.
- To create a culture of innovation is not a project or a task. An innovative culture is a by-product of broader decision-making. For this reason, leadership plays a much more important role in initiating cultural change and encourages it to thrive in the long run.
- Creativity improves the problem-solving process. It does not matter if we are talking about building a new strategy or a new way to stay ahead of the competition. Creative solving problems gives that competitive edge which the business is trying to achieve. Creative ideas and innovations can come from almost anywhere—from the partners, customers, target groups, employees or any other stakeholder.
- The process of innovation is not always smooth. It usually requires a certain environment to exist in order for the people involved to be encouraged and empowered to generate ideas freely—ideas that can move projects forward. Innovation is a major factor in organisational growth and success. Creating innovation in the company is a critical step, but still, many businesses are struggling with internal challenges that hinder innovation and creativity.

3.7 Glossary

Let us have an overview of the important terms mentioned in the topic:

- **Bureaucracy:** In the bureaucracy, it is a complex system with multilayer processes. These systems and processes are designed to maintain the consistency and control of the organisation. Bureaucracy is used to describe the long-term practices in large organisations or governments. For example, an oil company sets up a bureaucracy for its workers to carry out security checks on oil installations.
- **Collaboration:** Collaboration is a way of working in which people work together to achieve common business goals.

- **Creativity:** Creativity is defined as the tendency to generate or recognise ideas and alternatives that could be useful in order to solve a problem through communications and entertainment services for themselves and others.
- **Innovation:** Innovation comes from the Latin word "Innovare," which means renewal. From an economic point of view, innovation is something new that is beneficial to the organisation and/or society at large.
- **Motivation:** Motivation is an important factor that allows people to give their best performance and will contribute to the achievement of the objectives of the company. Strong motivation helps workers to increase their productivity; however, negative motivation decreases their productivity. The most important part of the human resource management is motivation.
- **Organisational culture:** An organisation's culture is a set of values, expectations and practices that directly impact the actions of all the members of the group. Please think of the traits that make the business what it is. A great culture shows positive qualities, which enhances the productivity of the organisation.

3.8 Case Study

Apple Incorporation

Apple Incorporation is nowadays considered the most innovative company in the world. Its products are rapidly reaching legendary status, with their names being used, on many occasions, to define an entire market sector and not just the product. The iPad is a good example of Apple's innovation. Apple actually created the marketplace for tablet PC with its introduction of the iPad. Many people will refer to any tablet PC as an iPad. The same goes for the iPhone, which was the first real, smart phone, the smart phone that started the revolution we live in today.

Steve Jobs and Steve Wozniak founded Apple Incorporation back in 1977. Jobs and Wozniak worked in Job's parents' garage in order to create the first Apple PC. Nowadays, Apple employs more than 73,000 people around the world, has its headquarters in 130,000 square metres in Cupertino, California, USA, and generates an annual turnover in excess of 156 billion US dollars.

Apple Incorporation is not just a huge, very successful, very profitable company; it is one of the very few companies in the world that successfully

combine, promote and excel in creativity, innovation and design. Products like the iPad, the iPhone and the iPod combine the creativity and vision of a company and of a very charismatic man, Steve Jobs, who sought to develop new revolutionary products, by innovating or continuously updating and upgrading, introducing new and improved versions with design, aesthetically pleasing, trendy, fashionable devices that are more than a "mobile phone" or a "portable PC." They are status-enchanted lifestyle items. Many companies have attempted to do this, but very few have achieved it, and only a handful have mastered it. Apple is a level above them.

Of course, this is not just down to the version and charisma of Steve Jobs. Apple employs some of the world's most creative minds and provides the conditions for them to create and innovate. The image of Steve Jobs walking around the office barefoot, chatting with his employees about ideas he or they have, is characteristic of the company culture. To build the organisation's culture, Apple provides some benefits to its employees, like building nurseries, a small clinic, dentist, even a virtual reality game suit and more than 12 restaurants that Apple employees enjoy.

Apple employees are encouraged to think "out of the box," to speak up and always share their thoughts, opinions, as well as projects and ideas with their colleagues. It is an inspiring environment that actively promotes thinking. However, Apple has also contributed to the business creativity and innovation field its influence, or the influence its huge success has on hundreds of other companies, most of which are its competitors. Apple has forced its competitors to upgrade their products and sales techniques, to focus on design, to innovate. Apple has made other companies create by changing the market and the consumers. Apple is a company whose actions reverberate in the entire business and customers, well as the technological development of our era.

- | | |
|---------------------------|---|
| Q. A Bureaucracy | 1. A complex system |
| B. Collaboration | 2. A way of working in which people work together |
| C. Creativity | 3. Tendency to generate idea |
| D. Organisational culture | 4. a set of values, expectations and practices |

Ans- A-1, B-2, C-3, D-4

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